8. INCOME TAXES

The income tax provision, or benefit, for the years ended December 31 is comprised of the following:

	2000	1999	1998
		(IN THOUSANDS)	
Current:			
Federal provision	$ --	$ 990	$ --
Deferred:			
Change in valuation allowance	1,421	(15,739)	26,147
Federal and state	(796)	5,833	(15,597)
Tax benefit from net operating losses	--	--	(18,568)
Total tax provision (benefit)	$ 625	$ (8,916)	$ (8,018)

The reconciliation of the federal statutory tax rate to the consolidated effective tax rate for the years ended December 31 is as follows:

	2000	1999	1998
		(IN THOUSANDS)	
Federal statutory tax rate	$ (4,621)	$ (8,516)	$(38,992)
Goodwill	598	536	377
Non-deductible amortization of impairment of goodwill	--	--	6,667
Percentage depletion	105	178	85
Change in valuation allowance	1,421	(15,739)	26,147
Other	88	52	265
Gain on debt forgiveness	625	13,408	--
Non-deductible interest expense	2,548	--	--
State taxes	(139)	1,165	(2,567)
	$ 625	$ (8,916)	$ (8,018)

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS, CONTINUED

8. INCOME TAXES, CONTINUED

The financial statement components that give rise to the net deferred tax assets and liabilities as of December 31 are as follows:

	2000	1999
	(IN THOUSANDS)	
Accounts receivable	$ 30	$ 30
Notes receivable	138	(97)
Prepaid expenses and other	453	--
Inventory	14	17
Other current liabilities	535	316
Current reclamation	156	1,007
Accrued leasehold termination	--	1,528
Total current	$ 1,326	$ 2,801
Property, plant and equipment	$(12,584)	$(13,539)
Advance minimum royalties	5,002	5,001
Long-term and other assets	892	833
Notes receivable	(525)	(674)
Accrued expenses and other	1,880	2,097
Accrued reclamation	1,178	1,154
Long-term debt	11,380	10,816
Capital loss carryforward	1,436	1,436

Alternative minimum tax credit carryforward	2,184	2,184
Contribution carryforward	20	--
Net operating loss carryforward	10,882	10,166
	21,745	19,474
Valuation allowance	(18,349)	(16,928)
Total long-term	$ 3,396	$ 2,546
Total deferred tax assets	$ 4,722	$ 5,347

The Company has federal regular tax and alternative minimum tax net operating loss carryforwards of approximately $55,574 and $28,779, respectively, that are available to offset future taxable income beginning in 2001 and will begin to expire in 2012. In addition, the Company has alternative minimum tax credit carryforwards of approximately $2,184 as of December 31, 2000.

The Company received a federal tax refund of $722 in 1998 through the utilization of previously unrecognized net operating loss carryforwards. This refund was allocated directly to goodwill.

In assessing the realizability of deferred tax assets, management considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which temporary differences become deductible. Management considers the scheduled reversal of deferred tax liabilities, projected future taxable income and tax planning strategies in making this assessment.